

## 11.7 GOODS AND SERVICES TAX (GST)

India adopted the value added tax (VAT) both at the Central and State level in 2005 with most states and union territories implementing the VAT. However, both central VAT (i.e., CENVAT) and the State VAT had certain incompleteness. The incompleteness in the CENVAT was that it had not been extended to include chain of value addition in the distributive trade below the stage of production. Similarly, in the State-level VAT, CENVAT load on the goods had not yet been removed and the cascading effect of that part of tax burden had remained unrelieved. Moreover, there were several taxes in the States, such as, Luxury Tax, Entertainment Tax, etc. which were still not been subsumed in the VAT. Also there had not been any integration of VAT on goods with tax on services at the state level in order to remove cascading effect of service tax. CST was another source of distortion in terms of its cascading nature. It was also against one of the basic principles of consumption taxes that tax should accrue to the jurisdiction where consumption takes place. Despite remarkable harmonisation in VAT, the national market was fragmented with too many obstacles in free movement of goods necessitated by procedural requirement under VAT and CST.

Integration of Central VAT and State VAT therefore was nothing but an inevitable consequence of the tax reform process. As a natural corollary of this, any unification of the taxation system required a dual GST, levied and collected both by the Union and the States. Power of taxation is assigned to both the Union and States under Schedule VII of the Constitution. While the Centre is empowered to tax goods up to the production or manufacturing stage, the States have the power to tax goods at distribution stage. The Union can tax services using residuary powers but States could not. Under a unified Goods and Services Tax scheme, both should have power to tax the complete supply chain from production to distribution, and both goods and services. The Constitution (115<sup>th</sup> Amendment) Bill, 2011, in relation to the introduction of GST, was introduced in the Lok Sabha on 11.03.2011. The Bill was referred to the Standing Committee on Finance on 29.03.2011 which submitted its report on the Bill in August, 2013. However, the Bill was lapsed with the devolution of the 15<sup>th</sup> Lok Sabha. The Constitution (122<sup>nd</sup> Amendment) Bill, 2014 was introduced in the 16<sup>th</sup> Lok Sabha on 19.12.2014. The Constitution Amendment Bill was passed by the Lok Sabha in May, 2015. The Bill with certain amendments was finally passed in the Rajya Sabha and thereafter by Lok Sabha in August, 2016. Further the bill was ratified by required number of States and received assent of the President on 8<sup>th</sup> September, 2016 and has since been enacted as Constitution (101<sup>st</sup> Amendment) Act, 2016 w.e.f. 16.09.2016.

The Goods and Services Tax (GST) was rolled out across the country on July 1, 2017. It replaced several existing multiple taxes levied by the central and state governments. The central and states taxes subsumed in GST is shown in Table 11.3.

India adopted the dual GST model because of its unique federal nature. Under this model, tax is levied concurrently by the Centre as well as the States on a common base, i.e. supply of goods or services or both. GST levied by the Centre would be called Central GST (CGST) and that levied by the States would be called State GST (SGST) and that levied by union territories without legislature will be called UGST. For inter-state transactions and imported goods or services,

an Integrated GST (IGST) is levied by the Central Government. GST is a consumption-based tax/destination-based tax, therefore, taxes are paid to the state where the goods or services are consumed not the state in which they were produced.

Goods and services are divided into five different tax slabs for collection of tax—0 per cent, 5 per cent, 12 per cent, 18 per cent and 28 per cent. However, petroleum products, alcoholic drinks, and electricity are not taxed under GST and instead are taxed separately by the individual state governments, as per the previous tax system<sup>8</sup>.

**Table 11.3: Central and States Taxes Subsumed under GST**

| Central Taxes                                                                              | State Taxes                                       |
|--------------------------------------------------------------------------------------------|---------------------------------------------------|
| 1. Central Excise duty (CENVAT)                                                            | 1. State VAT /Sales Tax                           |
| 2. Service Tax                                                                             | 2. Central Sales Tax                              |
| 3. Additional Excise Duties                                                                | 3. Purchase Tax                                   |
| 4. Excise duty (Medicinal & Toiletries Preparation Act)                                    | 4. Entertainment Tax (not levied by local bodies) |
| 5. Additional duties of Customs - Countervailing Duty (CVD)- Special Additional Duty (SAD) | 5. Luxury Tax                                     |
| 6. Central Surcharges & Cess                                                               | 6. Entry Tax (All forms)                          |
|                                                                                            | 7. Taxes on lottery, betting & gambling           |
|                                                                                            | 8. State Surcharges & Cess                        |

As provided for in Article 279A of the Constitution, the GST Council (the Council<sup>9</sup>) was notified with effect from 12.09.2016 which is responsible for conducting regular meeting and taking majority of GST related decisions. One half of the total number of Members of the Goods and Services Tax Council shall constitute the quorum at its meetings. Every decision of the Goods and Services Tax Council shall be taken at a meeting, by a majority of not less than three-fourths of the weighted votes of the members present and voting, in accordance with the following principles, namely: – a) the vote of the Central Government shall have a weightage of one-third of the total votes cast, and b) the votes of all the State Governments taken together shall have a weightage of two-thirds of the total votes cast, in that meeting.

Since its implementation there has been a feeling among states that they have ceded more ground to the union government and that their freedom with regard to changing the rates of value-added tax (VAT), their main source of revenue was entirely lost. In order to protect any revenue loss to states on account of switching to GST, the Goods and Services Tax (Compensation to States) Act, 2017 was enacted in 2017. Compensation will be provided to states for a period

<sup>8</sup> Besides, some goods and services are exempt also. Rate for precious metals and affordable housing are an exception to 'four-tax slab-rule' and the same has been fixed at 3 per cent and 1 per cent respectively. In addition, unworked diamonds, precious stones, etc. attracts a rate of 0.25 per cent. A cess over the peak rate of 28 per cent on certain specified luxury and demerit goods, like tobacco and tobacco products, pan masala, aerated water, motor vehicles is imposed to compensate States for any revenue loss on account of implementation of GST. The list of goods and services in case of which reverse charge would be applicable has also been notified.

<sup>9</sup> The Council is comprised of the Union Finance Minister (who is the Chairman of the Council), the Minister of State (Revenue) and the State Finance/Taxation Ministers as members.

of five years– July 2017-June 2022. For the purpose of calculating the compensation amount to be paid to states in any financial year, their revenues in 2015-16 from taxes subsumed in GST will be considered as the base year. A growth of 14 per cent over the base subsumed revenue would be guaranteed to the states. If a state's GST revenue fall short of the of the 14 per cent protected revenue, its revenue loss will be compensated up to the level of assured protection.

Table 11.4 shows the trend in GST collections since its implementation from 1 July 2017. The overall Y-o-Y growth in the collection in 2019-20 over 2018-19 was 3.8 per cent.

**Table 11.4: Trend in GST collection (Rs. Crore)**

| Month        | 2017-18           | 2018-19            | 2019-20            | Y-o-Y change in 2019-20 (per cent) |
|--------------|-------------------|--------------------|--------------------|------------------------------------|
| April        | –                 | 1,03,459.0         | 1,13,865.0         | 10.06                              |
| May          | –                 | 94,016.0           | 1,00,289.0         | 6.67                               |
| June         | –                 | 95,610.0           | 99,939.0           | 4.53                               |
| July         | 21,572.0          | 96,483.0           | 1,02,083.0         | 5.80                               |
| August       | 95,633.0          | 93,960.0           | 98,202.0           | 4.51                               |
| September    | 94,064.0          | 94,442.0           | 91,916.0           | -2.67                              |
| October      | 93,333.0          | 1,00,710.0         | 95,380.0           | -5.29                              |
| November     | 83,780.0          | 97,637.0           | 1,03,492.0         | 6.00                               |
| December     | 84,314.0          | 94,726.0           | 1,03,184.0         | 8.93                               |
| January      | 89,825.0          | 1,02,503.0         | 1,10,828.0         | 8.12                               |
| February     | 85,962.0          | 97,247.0           | 1,05,366.0         | 8.35                               |
| March        | 92,167.0          | 1,06,577.0         | 97,597.0           | -8.43                              |
| <b>Total</b> | <b>7,40,650.0</b> | <b>11,77,370.0</b> | <b>12,22,141.0</b> | <b>3.80</b>                        |

Source: GST Council

### Check Your Progress 3

- 1) State the objectives of FRBM Act, 2003.

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- 2) What was the targeted fiscal deficit to GDP ratio by the 12<sup>th</sup> Finance Commission?

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- 3) Explain the channels through which the global financial crises affected Indian economy.

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- 4) State the important recommendations of FRBM Review Committee.

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- 5) Which commodities are out of purview of GST?

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## 11.8 LET US SUM UP

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Fiscal Policy refers to the policy under which government uses its expenditure and revenue programme to produce desirable effects and avoid undesirable effects on the national income, production and employment. For understanding how changes in government spending and taxation effects equilibrium level of income and interest rate in the economy it is desirable to know the IS-LM framework. Hence Section 11.2 throws light on theoretical analysis of the IS-LM framework.

Fiscal Policy during 1970s focussed on achieving greater equity and social justice and both taxation and expenditure were employed towards this direction. During 1980s, the fiscal deterioration took place and eventually became unsustainable. Rising deficits and debt raised the price of serving the debt in terms of mounting interest payments. This in turn reduced the quality of the expenditure at the cost of social and developmental expenditure.

In the post-reforms period the direct tax structure was simplified and rationalised. As a result, the share of indirect tax declined to 45 per cent and share of direct tax increased to 35 per cent by 2005-06.

On the expenditure side, the strategy was focused to reduce the subsidies and cutting down on non-capital expenditure. By 2005-06, the interest component came down to 30 per cent and defence and subsidies each took up 11 per cent.

Despite these measures, the rising trend of fiscal revenue deficits since 1997-1990 reflected signs of distress. By 2003-04, the combined liabilities of the Centre and the States were up at 81.09 per cent of GDP from 70.59 per cent in 2000-01. This necessitated having a new fiscal discipline frame work and consequently the Fiscal Responsibility and Budgetary Management Act, 2003 was adopted in 2004.

The good and services tax which replaced the layers of multiple taxes levied by the Central and State Governments has been introduced across the country since July 1, 2017. Under the dual GST model, the tax is levied concurrently by the Centre as well as the States on a common base i.e. supply of goods or services or both.

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## 11.9 TERM-END EXERCISES

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- 1) Explain how IS-LM framework is useful to examine the impact of government spending and taxation on aggregate income, saving and interest rate.
- 2) Elaborate the broad trends in the pattern of public revenue and public expenditure during last 30 years.
- 3) What do you mean by fiscal imbalance? What are the measures of fiscal imbalance? How far FRBMA has been effective to correct fiscal imbalances?
- 4) State the channels through which global financial crises had affected Indian economy. How far the fiscal policy in India been effective to mitigate the ill effects of global financial crises?
- 5) State the salient features of Goods and Services Tax. Do you think it was a right step to raise the State's resources and in bringing transparency in tax compliance?
- 6) What measures will you suggest to improve the working of fiscal policy in India?

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## 11.10 KEY WORDS

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**Balance of Payments (BOP) :** Statement of the country's trade and financial transactions with the rest of the world during the year.

**Capital Budget :** This consists of capital receipts and payments. It also incorporates transactions in the Public Account.

**Capital Receipts :** The main items of capital receipts are loans raised by government from public which are called market loans, borrowings by government from Reserve Bank and other parties through sale of treasury bills, loans received from foreign bodies and governments, and recoveries of loans granted by the Union government to state and Union territory and other parties.

**Direct Tax :** Tax levied by government on the income and wealth received by households and businesses.

|                              |                                                                                                                                                                                                                               |
|------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Fiscal Deficit</b>        | : The difference between revenue receipts plus non-debt capital receipts on one side and total expenditure including loans, net of repayments on the other side.                                                              |
| <b>Fiscal Policy</b>         | : An instrument of demand management which seeks to influence the level of economic activity in an economy through the control of taxation and government expenditure.                                                        |
| <b>Indirect Tax</b>          | : A tax levied by government on goods and services.                                                                                                                                                                           |
| <b>Monetary Policy</b>       | : The tool of macro-economic policy which involves the regulation of money supply, credit and interest rates in order to control the level of spending in the economy.                                                        |
| <b>Non-Tax Revenue</b>       | : These receipts of government mainly consist of interest and dividend on investments made by government; fees and receipts for other services rendered by government.                                                        |
| <b>Primary Deficit</b>       | : The fiscal deficit minus interest payments.                                                                                                                                                                                 |
| <b>Public Debt</b>           | : National debt and other miscellaneous debt for which the government is ultimately responsible. This would include the accumulated debt of nationalised industries and local authorities.                                    |
| <b>Revenue Budget</b>        | : This consists of the revenue receipts of the government (tax revenues and other revenues) and the expenditure met from these revenues.                                                                                      |
| <b>Tax Revenues</b>          | : These comprise proceeds of taxes and other duties levied by the concerned authority.                                                                                                                                        |
| <b>Tax Avoidance</b>         | : Efforts to avoid paying tax by legal means.                                                                                                                                                                                 |
| <b>Tax Evasion</b>           | : Efforts to evade the payment of tax by illegal means.                                                                                                                                                                       |
| <b>Tax Base</b>              | : The total pool which tax authorities can tap when levying a tax.                                                                                                                                                            |
| <b>Value Added Tax (VAT)</b> | : A general tax applied at each point of exchange of goods or services from primary production to final consumption. It is levied on the difference between the sale price of output and the cost incurred on its production. |

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## 11.11 REFERENCES

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## 11.12 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

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### Check Your Progress 1

- 1) i) Household  
ii) Good market  
iii) Crowding-out effect of public investment
- 2) See Sub-Section 11.2.1

### Check Your Progress 2

- 1) See Sub-Section 11.3.2
- 2) See Sub-Section 11.4.2
- 3) See Sub-Section 11.4.2
- 4) See Sub-Section 11.4.3

### Check Your Progress 3

- 1) See Section 11.5
- 2) 3 per cent of GDP
- 3) See Section 11.6
- 4) See Section 11.6
- 5) See Section 11.7

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## UNIT 12 MAJOR DEVELOPMENT ON UNION STATE RELATIONS

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### Structure

- 12.0 Objectives
- 12.1 Meaning of and Rationale for Federal Structure
- 12.2 Pillars of Federal Finance
  - 12.2.1 Assignments
    - 12.2.1.1 Assignment of Public Expenditure
    - 12.2.1.2 Assignment of Revenue Sources
  - 12.2.2 Vertical and Horizontal Imbalances
  - 12.2.3 Correcting the Imbalances – Inter-governmental Transfers
  - 12.2.4 Sub-national Borrowing
- 12.3 Institutions of Federalism in India
  - 12.3.1 Finance Commission
  - 12.3.2 Planning Commission/NITI Aayog
  - 12.3.3 GST Council
- 12.4 The 14<sup>th</sup> and 15<sup>th</sup> Finance Commissions
- 12.5 Trends and Issues in Fiscal Federalism in India
  - 12.5.1 Centralisation and Vertical Imbalance
  - 12.5.2 Regional Equity and Horizontal Imbalance
- 12.6 Let Us Sum Up
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- 12.8 Key Words
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- 12.10 Answers or Hints to Check Your Progress Exercises
- Appendix 12.1
- Appendix 12.2

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### 12.0 OBJECTIVES

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This unit is concerned with Union-States financial relations. After going through this unit, you should be able to:

- spell out the principles governing fiscal federalism;
- state the provisions enshrined in Indian Constitution relating to division of financial powers between Union and States;
- discuss the role of various elements of the institutional structure underpinning the Union and State relations;
- appreciate the role of Finance Commission as an institution, and the importance of major recommendations of various Finance Commissions over the years;
- critically examine the major recommendations of 14<sup>th</sup> Finance Commission, the Terms of Reference and the interim Report of the 15<sup>th</sup> Finance Commission; and
- evaluate the dimension and nature of issues involved in contemporary Centre-State fiscal situation in the country.